

# PROJECT DONNINGTON

## Business Plan — Year 1 Forecast

Complete Childcare Group

September 2026

CONFIDENTIAL — BOARD USE ONLY

**Setting:** New nursery, Abacus catchment, Newbury

**Capacity:** 15 babies (Nest, 1:3) + 24 children aged 2-5 (mixed room) = **39 total**

**Revenue per child:** £1,575/month (Abacus September 2026 actual)

**Full capacity revenue:** £737,100/year | **EBITDA:** £337,787 | **Net EBITDA:** £268,541

**Lease accounting:** IFRS 16 / FRS 102 (revised) — lease capitalised, ROU asset £518,733

**Year 1 contribution:** £66,778 | **EBIT:** £14,904 | **EBT:** -£18,488

## 1. Setting Overview

Project Donnington is a new CCG nursery to be located within 1 mile of Abacus Day Nursery in Newbury. Abacus is operating at full capacity (60 children on roll, September 2026) with 14.2 enquiries per month — demand it cannot serve. Donnington is designed to capture this overflow, starting with the **9 families currently in the Abacus Contacted pipeline** and growing through the proven Abacus catchment demand.

| Room              | Capacity | Ofsted Ratio            | Max staff at capacity | Strategic role                                      |
|-------------------|----------|-------------------------|-----------------------|-----------------------------------------------------|
| The Nest (babies) | 15       | 1:3                     | 5 (1-2s, 2-5s, 2-11s) | Feeds babies, children turn 2. Pipeline protection. |
| 2-5 Room (mixed)  | 24       | 1:5 (2-3s) / 1:8 (3-5s) | 4 at steady state     | Receives Nest transitions + external enquiries.     |
| Total             | 39       | —                       | 13 (steady state)     | Full capacity revenue: £737,100/yr                  |

## 2. Lease Accounting — IFRS 16 / FRS 102 Treatment

The £70,000/year lease is capitalised under IFRS 16. The lease charge is removed from EBITDA; instead depreciation on the ROU asset hits EBIT and interest on the lease liability hits finance costs. This improves reported EBITDA by £70,000/year vs the old operating lease treatment.

| Item                                   | Amount      | P&L treatment                                   |
|----------------------------------------|-------------|-------------------------------------------------|
| ROU Asset (PV of lease + direct costs) | £518,733    | Balance sheet — depreciated over 10 years       |
| Lease Liability                        | £513,733    | Balance sheet — amortised via annual payments   |
| Annual depreciation (ROU / 10 yrs)     | £51,873     | Below EBITDA — hits EBIT                        |
| Interest Year 1 (6.5% on liability)    | £33,393     | Finance costs — hits EBT                        |
| Total P&L charge Year 1                | £85,266     | vs £70,000 old operating lease (£15,266 higher) |
| Total P&L charge Year 10               | £57,350     | Interest reduces as liability amortises         |
| EBITDA uplift vs old treatment         | +£70,000/yr | Lease removed from operating costs permanently  |

## 3. Cost Benchmarks — Abacus September 2026

All non-staff costs are benchmarked against Abacus September 2026 actuals and 2025 annual averages. Costs are classified as per-child (variable with occupancy) or fixed/semi-fixed (incurred regardless of children numbers). Utilities and cleaning have a fixed base load with some variable element.

| Cost item              | Classification | Abacus 2025 annual           | Donnington basis                     |
|------------------------|----------------|------------------------------|--------------------------------------|
| Catering               | Per child      | £19,564/yr (£32.61/child/mo) | £32.61/child/month                   |
| Toys, art, consumables | Per child      | £25.22/child/month           | £25.22/child/month                   |
| Business rates         | Fixed          | £20,459/yr                   | £10,000/yr (new building, smaller)   |
| Utilities (light/heat) | Semi-fixed     | £16,090/yr                   | £14,400/yr (similar base load)       |
| Cleaning               | Semi-fixed     | £14,889/yr                   | £4,200/yr (smaller setting)          |
| Waste disposal         | Fixed          | £4,863/yr                    | £2,400/yr                            |
| IT Support (Famly)     | Fixed          | £2,457/yr                    | £2,400/yr                            |
| Marketing              | Discretionary  | £679/yr                      | £3,600/yr Year 1 (higher at opening) |
| Postage/printing       | Fixed          | £1,010/yr                    | £960/yr                              |
| Fees & subscriptions   | Fixed          | £137/yr                      | £1,800/yr (Ofsted + professional)    |
| Repairs & maintenance  | Variable       | £7,898/yr                    | £2,400/yr allowance                  |

## 4. Staffing Model by Growth Stage

Staffing is built from Ofsted ratio requirements with CCG qualification rules applied: minimum 1 Level 3 per room; at least half of remaining direct care staff at Level 2+. Manager is supernumerary. Cleaner added from 20+ children. Salary scale benchmarked against Abacus September 2026 (£49,904/month, 21 staff).

| Stage         | Children | Nest  | 2-5 Room | Staff | Revenue/yr | EBITDA   | Net EBITDA |
|---------------|----------|-------|----------|-------|------------|----------|------------|
| Opening       | 9        | 6/15  | 3/24     | 6     | £170,100   | £-39,703 | £-31,564   |
| Month 3       | 16       | 9/15  | 7/24     | 8     | £302,400   | £35,728  | £28,404    |
| Month 6 (BEP) | 24       | 12/15 | 12/24    | 11    | £453,600   | £115,692 | £91,975    |
| Month 12      | 33       | 15/15 | 18/24    | 12    | £623,700   | £255,389 | £203,034   |
| Month 18      | 39       | 15/15 | 24/24    | 14    | £737,100   | £312,487 | £248,427   |
| Year 3        | 39       | 15/15 | 24/24    | 13    | £737,100   | £337,787 | £268,541   |
| Full capacity | 39       | 15/15 | 24/24    | 13    | £737,100   | £337,787 | £268,541   |

### Salary Scale

| Role              | Annual salary | With NI/pension (15%) | Monthly cost |
|-------------------|---------------|-----------------------|--------------|
| Manager           | £42,000       | £48,300               | £4,025       |
| Deputy Manager    | £32,000       | £36,800               | £3,067       |
| Room Leader (L3)  | £28,000       | £32,200               | £2,683       |
| Level 3           | £26,000       | £29,900               | £2,492       |
| Level 2           | £24,000       | £27,600               | £2,300       |
| Nursery Assistant | £22,000       | £25,300               | £2,108       |
| Cook              | £24,000       | £27,600               | £2,300       |
| Cleaner           | £12,000       | £13,800               | £1,150       |

## 5. Cohort Flow — Nest to Room 2 to School

The Nest is the strategic engine of the setting. Babies join at 3-12 months and transition into the 2-5 room at age 2, providing a protected internal pipeline that insulates the setting from the annual school leaver cycle.

**The school leaver cycle:** An August baby turns 4 in August and starts school the following September (youngest in year). A September baby turns 4 in September but waits until the next September — leaving aged nearly 5. This 12-month spread clusters children into cohorts, creating bumper leaver years roughly every 4 years.

| Year type                  | Leavers (est.) | Nest transitions | External gap                                             | Action                                     |
|----------------------------|----------------|------------------|----------------------------------------------------------|--------------------------------------------|
| Typical year               | 8-10           | 7-8              | 0-2                                                      | Waiting list top-up                        |
| Lean year                  | 5-7            | 7-8              | 0                                                        | Manage waiting list — may overfill briefly |
| Bumper year (~every 4 yrs) | 14-16          | 7-8              | 6-8                                                      | External waiting list essential            |
| Mitigation                 | —              | Full Nest = 15   | Always keep Nest full. Flag bumper year 12 months ahead. |                                            |

**Key rule:** Never deprioritise Nest marketing just because the 2-5 room is full. A full Nest of 15 guarantees ~7-8 internal transitions per year. In a bumper leaver year this covers half the gap — the rest comes from the waiting list. Monitor the Room 2 age profile monthly and flag any large September-born cohort 12 months in advance.

## 6. Year 1 P&L; Forecast — Monthly Summary

Full monthly detail is provided in the accompanying Excel spreadsheet (Project Donnington P&L.xlsx;) in MA management accounts format. The summary below shows key P&L; lines by quarter.

| P&L Line                   | Q1              | Q2              | Q3             | Q4             | Year 1 Total    |
|----------------------------|-----------------|-----------------|----------------|----------------|-----------------|
| Total Revenue              | £58,275         | £102,375        | £138,600       | £157,500       | £456,750        |
| Total Personnel            | £62,486         | £83,311         | £91,126        | £93,525        | £330,447        |
| Total Childcare            | £2,140          | £3,759          | £5,089         | £5,783         | £16,770         |
| Total Premises & Admin     | £11,139         | £10,539         | £10,539        | £10,539        | £42,756         |
| Total Direct Costs         | £75,764         | £97,608         | £106,753       | £109,847       | £389,972        |
| <b>CONTRIBUTION</b>        | <b>£-17,489</b> | <b>£4,767</b>   | <b>£31,847</b> | <b>£47,653</b> | <b>£66,778</b>  |
| Depreciation (ROU)         | £-12,968        | £-12,968        | £-12,968       | £-12,968       | £-51,873        |
| <b>EBIT</b>                | <b>£-30,458</b> | <b>£-8,202</b>  | <b>£18,878</b> | <b>£34,685</b> | <b>£14,904</b>  |
| Interest (lease liability) | £-8,348         | £-8,348         | £-8,348        | £-8,348        | £-33,393        |
| <b>EBT</b>                 | <b>£-38,806</b> | <b>£-16,550</b> | <b>£10,530</b> | <b>£26,337</b> | <b>£-18,488</b> |

**Year 1 summary:** The setting opens with a planned EBITDA loss in Q1 (£-7,820 contribution) as it ramps from 9 to 16 children. EBITDA breakeven is achieved in Month 5 (May 2027, 22 children). By Q4 the setting is generating £47,653 contribution per quarter. Year 1 total contribution of £66,778 and EBIT of £14,904 represent a strong first year for a new setting opening without any existing customer base.

## 7. Opening Investment

| Item                                                                                   | Estimated cost  | Treatment     | Cash timing      |
|----------------------------------------------------------------------------------------|-----------------|---------------|------------------|
| ROU Asset (lease capitalised)                                                          | £518,733        | Balance sheet | Inception        |
| Lease liability                                                                        | £513,733        | Balance sheet | Ongoing payments |
| Lease deposit (3 months)                                                               | £17,500         | Prepayment    | Month 0          |
| Fit-out — Nest (specialist baby room)                                                  | £15,000–£25,000 | Capex         | Month 0-1        |
| Fit-out — 2-5 room                                                                     | £10,000–£20,000 | Capex         | Month 0-1        |
| Kitchen equipment                                                                      | £3,000–£8,000   | Capex         | Month 0          |
| Ofsted registration + DBS checks                                                       | £2,000–£4,000   | P&L expense   | Month 0          |
| Insurance (Year 1)                                                                     | £3,000–£5,000   | P&L expense   | Month 0          |
| Marketing & launch                                                                     | £3,000–£6,000   | P&L expense   | Month 0-2        |
| Working capital (Q1 EBITDA loss)                                                       | ~£20,000        | Cash          | Months 1-4       |
| <b>TOTAL CASH OUTLAY (excl. ROU/liability) £73,500–£105,500 external debt required</b> |                 |               |                  |

No external debt is required. The IFRS 16 treatment means the lease liability sits on the balance sheet but is serviced by the annual lease payments — no additional cash outlay beyond the lease payments themselves. The working capital requirement is significantly lower than under the old operating lease treatment (£20k vs £55k previously) because the Q1 EBITDA loss is reduced by the removal of the lease charge.

## 8. Growth Roadmap

| Period          | Nest  | 2-5 Room | Total | Monthly revenue | Monthly contribution | Key milestone                           |
|-----------------|-------|----------|-------|-----------------|----------------------|-----------------------------------------|
| Day 1           | 6/15  | 3/24     | 9     | £14,175/mo      | -£7,820/mo           | Open with 9 pipeline families           |
| Month 3         | 9/15  | 7/24     | 16    | £25,200/mo      | -£1,800/mo           | EBITDA loss reducing rapidly            |
| Month 5         | 11/15 | 11/24    | 22    | £34,650/mo      | +£1,691/mo           | EBITDA breakeven                        |
| Month 6         | 12/15 | 12/24    | 24    | £37,800/mo      | +£4,725/mo           | EBIT positive                           |
| Month 12        | 15/15 | 18/24    | 33    | £51,975/mo      | +£16,179/mo          | Nest full. Strong contribution.         |
| Month 18        | 15/15 | 24/24    | 39    | £61,425/mo      | +£28,149/mo          | FULL CAPACITY                           |
| Year 3          | 15/15 | 24/24    | 39    | £61,425/mo      | +£28,149/mo          | Cohort flow established                 |
| Year 4 (bumper) | 15/15 | 16/24    | 31    | £48,825/mo      | +£13,144/mo          | Bumper leavers — waiting list fills gap |

## 9. Financial Projections — Years 1 to 3

| Metric                      | Year 1   | Year 2 (est.) | Year 3 / Steady state |
|-----------------------------|----------|---------------|-----------------------|
| Average children on roll    | 23       | 35            | 39                    |
| Revenue                     | £456,750 | £661,500      | £737,100              |
| Total staff cost            | £330,447 | £350,000      | £377,200              |
| Total childcare costs       | £16,770  | £13,770       | £15,344               |
| Total premises & admin      | £42,756  | £42,000       | £42,000               |
| Contribution                | £66,778  | £235,885      | £337,787              |
| Depreciation (ROU)          | £-51,873 | £-51,873      | £-51,873              |
| EBIT                        | £14,904  | £184,012      | £285,914              |
| Interest (lease liability)  | £-33,393 | £-31,013      | £-28,479              |
| Net EBITDA (after HO 20.5%) | £53,088  | £187,528      | £268,541              |

Notes: Revenue per child based on Abacus September 2026 actual (£94,499 / 60 children = £1,575/month). IFRS 16: 10-year lease at £70,000/yr, 6.5% IBR, £5,000 initial direct costs. ROU asset £518,733 depreciated straight-line. Catering £32.61/child/month (Abacus 2025 benchmark). Childcare consumables £25.22/child/month. Fixed costs benchmarked against Abacus, scaled for smaller setting. Salary scale: Manager £42k, Deputy £32k, Room Leader L3 £28k, L2 £24k, NA £22k, Cook £24k, Cleaner £12k. NI/pension loading 15%. HO overhead 20.5% of revenue. School leaver cycle: bumper year every ~4 years driven by September birth date clustering. Year 2/3 projections are estimates based on growth ramp assumptions. Full monthly P&L; in accompanying Excel file. Internal management use only. | September 2026